

Table 5.3 Price Move after Pattern End

Description	Bull Market
How often does price turn at D?	91%
How many rise to point A?	58%
How many rise to point B?	86%
How many rise to point C?	64%

Table 5.3 shows how price behaves after point D.

How often does price turn at D? I found price turning upward at D 91% of the time, which is wonderful. It's exciting. Swing traders will be delighted when I share the news, I'm sure.

How many rise to...? Gauging performance using another method, I checked how often price climbed to the various turns in the pattern.

For example, the closest turn to D is B. I found that price climbed to B 86% of the time. At the top of the pattern is point A. How many climbed to A? Answer: 58%.

Even though just over half of bats saw price reach A, with an average rise of 44%, it's clear many bats see price rise substantially to overcome the stinkers trying to pull the results down.

Hopefully, you can use these numbers as guidance to help you trade this pattern better by estimating how far price might rise.

Sample Trade

Figure 5.4 shows a sample trade that Scott made. Scott has been a longtime admirer of Apple products, so when his software flagged a bullish bat, he took an interest in the stock. I show the bat as turns XABCD.

"I measured the height of the pattern," he said and pointed to the chart. From the peak at A (60.96) to the low at X (50.61), the height was 10.35.

His statistics on bullish bats showed there was a 60% probability that the stock would climb to 71.31, which is the height added to peak A. (The 60% number comes from the traditional way of gauging chart pattern